

Machinery Work



Physical Work



Mind Work

wholly, with a view to secure an income apart from the pleasure derived from the work'

Characteristics of Labour

- Labour is more perishable than other factors of production. It means labour cannot be stored. The labour of an unemployed worker is lost forever for that day when he does not work. Labour can neither be postponed nor accumulated for the next day. It will perish. Once it is lost, it is lost forever.
- Labour is an active factor of production. Neither land nor capital can yield much without labour.
- Labour is not homogeneous. Skill and dexterity vary from person to person.
- Labour cannot be separated from the labourer.
- Labour is mobile. Man moves from one place to another from a low paid occupation to a high paid occupation.
- Individual labour has limited bargaining power. He cannot fight with his employer for a rise in wages or improvement in work-place conditions. However, when workers combine to form trade unions, the bargaining power of labour increases.

Division of Labour

The concept 'Division of Labour' was introduced by Adam Smith in his book '*An Inquiry into the Nature and Causes of the Wealth of Nations'*.

Division of labour means dividing the process of production into distinct and several component processes and assigning each component in the hands of a labour or a set of labourers, who are specialists in that particular process.

Example : A Tailor stitches a shirt in full. In the case of Garments exporters, cutting of cloth, stitching of hands, body, collars, holes for buttons, stitching of buttons etc., are done



Car Manufacturing Unit



Bike Manufacturing Unit

7th_SS_Economics_Unit_1.indd 191 06/01/2022 03:15:29